

interdependent, and a debt-fueled collapse in one part of the system can quickly contaminate all connected protocols – and expand outward.

Any loan of non-zero duration (e.g., foreshadowing flash loan) must be backed by an equivalent or excess amount of collateral. Requiring collateral contractually prevents a counterparty from defaulting. An uncollateralized mechanism raises the risk that a counterparty could steal funds, especially in an open and anonymous system such as Ethereum. A risk of overcollateralized positions is that the collateral becomes less valuable than the debt, leading to a foreclosure without an option for recovery. Therefore, more volatile types of collateral require larger collateralization ratios to mitigate this risk.

We have already mentioned the mechanism of liquidation, and now we will explain it in detail. To avoid liquidation, it is imperative that debt remain overcollateralized by a margin sufficiently large that moderate price volatility does not place the collateral value in jeopardy. Smart contracts commonly define a minimum collateralization threshold below which the collateral can be liquidated and the position closed. The collateral could be auctioned or directly sold on a DEX, likely with an AMM, at the market price.

As stated already, positions in the Ethereum blockchain cannot be liquidated automatically, so an incentive is needed and often takes the form of a percentage fee allocated to an external keeper who is able to liquidate the position and collect the reward. Any remaining collateral is left to the